

EQUITY RESEARCH · COMPANY DEEP DIVE

Applied Materials, Inc. (AMAT.US)

Technology · Semiconductor Equipment & Materials

Large Cap (>\$200B) · Report Date: July 06, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-07-06

OVERWEIGHT

Composite · Valuation: HOLD

Target \$650.21 · +8.6% upside

Price \$598.79

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$650.21 (+8.6% vs \$598.79); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT \$650.21	45%
FSA	Strong	Health +0.45 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +216%	15%
Composite	OVERWEIGHT	Score +0.38 · 100% confluence	—

Valuation + technical aligned bullish; solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

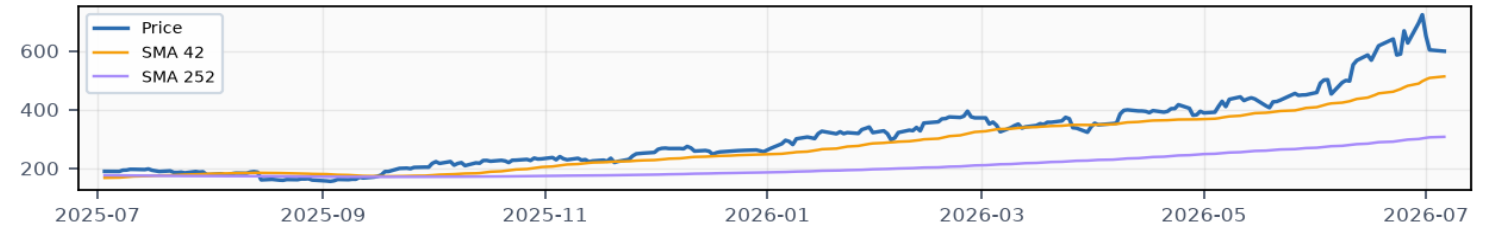
Applied Materials, Inc. (AMAT) — Technology. Applied Materials, Inc. provides materials engineering solutions, equipment, services, and software to the semiconductor and related industries in the... **HOLD** rating; blended target \$650.21. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$475.41B	Shares Out.	794.0M
52-Week Range	\$154.47 – \$739.67	P/E (TTM)	56.4x
P/B	19.9x	Beta	1.57
Avg Volume	8.96M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$29.02B	Rev Growth	+11.4%
Op. Margin	31.9%	FCF (TTM)	\$5.70B
Gross Margin	49.0%	ROE	39.7%
EV/EBITDA	51.5x	Debt/Equity	30.4%
EPS (TTM)	\$10.61	Div Yield	35.0%

PRICE TREND · SMA 42 / 252

AMAT · Price & SMA



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	27,176	28,368	31,602	34,361	36,718
Revenue Growth (%)	N/A	4.4%	11.4%	8.7%	6.9%
Net Income (\$M)	7,177	6,998	7,796	8,476	9,058
Gross Margin (%)	47.5%	48.7%	49.0%	49.0%	49.0%
Net Margin (%)	26.4%	24.7%	24.7%	24.7%	24.7%
EPS (\$)	9.04	8.81	9.82	10.68	11.41
P/E (x)	66.24	67.94	60.98	56.09	52.49

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$512.71	Short-term trend	12m Momentum	+215.7%	
SMA (252d)	\$307.07	Long-term trend	3m Momentum	+70.0%	
RSI (14d)	53.1	Momentum oscillator	Ann. Volatility	45.6%	
Trend	Bullish		Sharpe Ratio	0.70	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-55.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	+271.0%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$512.71, S...	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	49.5%	B&H; 64.2%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
DCF (Simon FCFE)	\$124.94	-79.1%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)	Ke · Terminal g	12.62% · 4.00%
					FCFE growth	11.61%
					Equity value	\$99.20B
Comps — Blended (median of multiples + uplift anchors)	\$668.03	+11.6%	80%	Included in blend	Implied price	\$124.94
					vs. current	-79.1%
Analyst consensus (Yahoo Finance)	\$578.91	-3.3%	20%	Included in blend		
Blended target (weighted)	\$650.21	+8.6%	100%	Comps 80% + Analyst 20%		

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
LRCX	Lam Research Corporati	\$443.88B	66.8x	55.9x	30.9%	+23.8%
KLAC	KLA Corporation	\$306.90B	66.6x	52.8x	35.7%	+11.5%
TER	Teradyne, Inc.	\$60.88B	72.2x	49.6x	22.6%	+87.0%
ENTG	Entegris, Inc.	\$22.76B	86.4x	29.2x	8.2%	+5.0%
AMAT*	Applied Materials, Inc	\$475.41B	56.4x	51.5x	29.3%	+11.4%

* Subject company. Trades at a discount on p/e vs peers. Trends: Moderate revenue expansion (11.4% YoY); High operating leverage (31.9% margin); Above-market volatility (β=1.57) · Risks: Premium valuation (P/E: 56.4x); High market sensitivity in downturns Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.